

DECLARATION OF CONDOMINIUM

HOLIDAY PLAZA PHASE I, A COMMERCIAL CONDOMINIUM

FILED AND RECORDED
DATE 11/18/97 TIME 13:46

DAN BODIFORD CLERK
CO:WALTON ST:FL

FL 563549 B 1736 P 311
CO:WALTON ST:FL

Rec 388.50 /

TABLE OF CONTENTS

DECLARATION OF CONDOMINIUM

Page No.

1. PURPOSE	1
1.1 Name	1
1.2 Address	1
1.3 Land Submitted to Condominium Ownership	1
1.4 Provisions Perpetual Covenants	1
2. DEFINITIONS	1
2.1 Assessment	2
2.2 Association	2
2.3 Board of Administration	2
2.4 By-Laws	2
2.5 Common Elements	2
2.6 Common Expenses	2
2.7 Common Surplus	2
2.8 Condominium	2
2.9 Condominium Parcel	2
2.10 Condominium Property	3
2.11 Declaration	3
2.12 Developer	3
2.13 Institutional Mortgage	3
2.14 Limited Common Elements	3
2.15 Operation	3
2.16 Unit	3
2.17 Unit Owner	3
2.18 Utility Services	3
3. DEVELOPMENT PLANS	4
3.1 Improvements	4
4. UNIT BOUNDARIES	5
4.1 Upper & Lower Boundaries	5
4.2 Perimetrical Boundaries	5
4.3 Boundaries-Further Defined	5
4.4 Amendments	5
5. OWNERSHIP	6
5.1 Type of Ownership	6
5.2 Association Membership	6
5.3 Unit Owner's Rights	6

6.	RESTRAINT UPON SEPARATION & PARTITION OF COMMON ELEMENTS ELEMENTS	6
7.	PERCENTAGE OF OWNERSHIP OF COMMON ELEMENTS	7
8.	COMMON EXPENSE & COMMON SURPLUS	7
9.	MAINTENANCE, ALTERATIONS, AND IMPROVEMENTS	7
9.1	Units	7
9.1.1	By the Association	7
9.1.2	By the Unit Owner	7
9.1.3	Alteration & Improvement	8
9.2	Common Elements	9
9.2.1	By the Association	9
9.2.2	Alteration & Improvement	9
9.2.3	Personal Property	9
9.3	Enforcement of Maintenance	9
10.	USE RESTRICTIONS	10
10.1	Units	10
10.2	Increase & Decrease in Size & Number of Units	11
10.3	Common Elements & Limited Common Elements	11
10.4	Nuisances	11
10.5	Lawful Use	11
10.6	Signs	11
10.7	Rules & Regulations	11
10.8	Proviso	11
10.9	Courtyard...Maintenance by User.	12
11.	TRANSFER OF OWNERSHIP INTERESTS	12
11.1	Notice of Lien or Suit	12
11.1.1	Notice of Lien	12
11.1.2	Notice of Suit	12
11.1.3	Failure to Comply	12
12.	PARKING SPACES	12
12.1	Assignment of Parking Spaces	12
12.2	Abuse of Parking Privileges	13
13.	EASEMENTS	13
13.1	Utilities	13
13.2	Pedestrian & Vehicular Traffic	13
13.3	Support	13
13.4	Perpetual Nonexclusive Easement In Common Elements.	13
13.5	Right of Entry into Units in Emergencies	14
13.6	Right of Entry for Maintenance of Common Elements	14
13.7	Easement for Unintentional & Nonnegligent Encroachment	14
13.8	Air Space	14

13.9 Easement or Encroachments	14
13.10 Easement for Overhangs	14
13.11 Easement for Air Space of Common Elements	15
14. ASSOCIATION	15
14.1 Articles of Incorporation	15
14.2 By-Laws	15
14.3 Limitation Upon Liability of Association	15
14.4 Restraint Upon Assignment of Shares in Assets	15
14.5 Approval or Disapproval of Matters	15
14.6 Membership	16
14.7 Voting	16
15. INSURANCE	16
15.1 Authority to Purchase	16
15.2 Coverage	17
15.2.1 Casualty	17
15.2.2 Public Liability	17
15.2.3 Workman's Compensation	17
15.2.4 Association Insurance	17
15.3 Premiums	17
15.4 Assured	17
15.4.1 Common Elements	18
15.4.2 Units	18
15.4.2.1 Partial Destruction	18
15.4.2.2 Total Destruction	18
15.4.2.3 Mortgagee	18
15.5 Distribution of Proceeds	18
15.5.1 Expense of the Trust	18
15.5.2 Reconstruction of Repair	19
15.5.3 Failure to Reconstruct or Repair	19
15.5.4 Certificate	19
15.5.5 Association as Agent	19
16. RECONSTRUCTION OR REPAIR AFTER CASUALTY	19
16.1 Determination to Reconstruct or Repair	19
16.1.1 Common Elements	19
16.1.2 Commercial Condominium Building	19
16.1.2.1 Lesser Damage	19
16.1.2.2 Major Damage	19
16.1.2.3 Certificate	20
16.2 Plans & Specifications	20
16.3 Responsibility	20
16.4 Estimates of Cost	20
16.5 Assessments	20
16.6 Deductible Provision	21
16.7 Construction Funds	21
16.7.1 Association	21
16.7.2 Insurance Trustee	21
16.7.2.1 Unit Owner	21
16.7.2.2 Association - Lesser Damage	21
16.7.2.3 Association - Major Damage	21
16.7.2.4 Surplus	22
16.7.2.5 Certificate	22

DECLARATION OF CONDOMINIUM
FOR HOLIDAY PLAZA PHASE I, A COMMERCIAL CONDOMINIUM

MADE this 14th day of November, 19 97, by COCHACA, I, Inc., as owner of the real property hereinafter described, and developer of the improvements thereon (hereinafter called the "Developer"), for themselves, their successors, grantees, assignees, and /or their transferees.

WHEREAS, said Developer, as owner, makes the following Declaration:

1. PURPOSE

The purpose of this Declaration is to submit the lands described in this instrument and improvements on such lands, to the condominium form of ownership and use, under the laws of the State of Florida; and the Developer does hereby submit the lands described in this instrument and improvements on such lands, to the condominium form of ownership and use.

1.1 The name by which this condominium is to be identified is Holiday Plaza Phase I, a commercial condominium.

1.2 The condominium is located at 12273 U.S. Highway 98 East, Destin, Walton County, Florida and the legal description is attached as Exhibit "A".

1.3 The lands owned by the Developer, which by this instrument are submitted to the condominium form of ownership, are those certain lands lying in Walton County, Florida, as described in Exhibit "A" as the "Phase I Land", attached hereto and made part hereof, which shall hereinafter be referred to as "the land." Said land shall be subject to conditions, restrictions, limitations, easements, and reservations of record. The additional lands that may be submitted to the condominium form of ownership (within seven years from the date of the recordation of this Declaration) as a part of this condominium are set forth on Exhibit "A" as the "Phase 2 Land".

1.4 All provisions of the Declaration shall be construed to be perpetual covenants running with the land and with every part thereof and interest therein; and every condominium Parcel owner and claimant of the land or any part thereof or interest therein, and his heirs, executors and administrators, successors and assigns, shall be bound by all of the provisions of the Declaration, unless this Declaration shall be terminated as provided herein. Both the burdens imposed and the benefits shall run with each condominium parcel as herein defined.

2. DEFINITIONS

The terms used in This Declaration and in the Articles of Incorporation, the By-Laws, and the Rules and Regulations of Holiday Plaza Phase I shall have the meaning stated in the

Condominium Act and as follows, unless the context otherwise requires. Further, whenever the context so requires, the use of any gender shall be deemed to include all genders, the use of the plural shall include the singular, and the singular shall include the plural.

2.1 Assessment means a share of the funds required for the payment of common expenses, which from time-to-time is assessed against the unit owner.

2.2 Association means the corporate entity responsible for the operation of a condominium.

2.3 Board of Administration means the board of directors or other representative body responsible for administration of the association.

2.4 By-Laws means the by-laws of the association existing from time-to-time.

2.5 Common Elements includes within its meaning the following:

2.5.1 The commercial condominium property which is not included within the units.

2.5.2 Easements through units for conduits, ducts, plumbing, wiring, and other facilities for the furnishing of utility services to units and the common elements.

2.5.3 An easement of support in every portion of a unit which contributes to the support of a building.

2.5.4 The property and installations required for the furnishing of utilities and other services to more than one (1) unit or to the common elements.

2.6 Common Expenses means all expenses and assessments properly incurred by the Association for the commercial condominium.

2.7 Common Surplus means the excess of all receipts of the Association, including, but not limited to, assessments, rents, profits, and revenues on account of the common elements, over the common expenses.

2.8 Condominium means that form of ownership of real property which is created under the laws of the State of Florida and which is comprised of commercial units that may be owned by one (1) or more persons and there is, appurtenant to each unit, an undivided share in the common elements.

2.9 Condominium Parcel means unit, together with the undivided share in the common elements which is appurtenant to the unit.

2.10 Condominium Property means the lands, leaseholds and personal property that are subjected to condominium ownership, whether or not contiguous, and all improvements thereon and all easements and rights appurtenant thereto intended for use in connection with the commercial condominium.

2.11 Declaration or declaration of condominium means the instrument or instruments by which the condominium is created, as they are from time-to-time amended.

2.12 Developer means the entity which creates a condominium or offers condominium parcels for sale or lease in the ordinary course of business, but does not include an owner or lessee or a unit owner who has acquired his unit for his owner occupancy. The Developer of this condominium is COCHACA 1, Inc.

2.13 Institutional Mortgagee is the owner and holder of mortgage encumbering a condominium parcel, which owner and holder of said mortgage shall be either a bank, life insurance company, federal or state savings and loan association, real estate or mortgage investment trust, federal or state agencies, the Developer or other mortgagee which shall be acceptable to and approved by the Board of Directors of the Association.

2.14 Limited Common Elements means those common elements which are reserved for the use of certain commercial condominium unit or units to the exclusion of other units, as specified in the declaration of condominium.

2.15 Operation or "operation of the commercial condominium" includes the administration and management of the condominium property.

2.16 Unit means a part of the commercial condominium property which is subject to exclusive ownership, and it is sometimes herein referred to as an apartment. A unit may be in improvements, land, or land and improvements together, as specified in the Declaration of Condominium.

2.17 Unit Owner or "owner of a unit" means the owner of a commercial condominium parcel.

2.18 Utility Services, as construed with reference to this commercial condominium and as used in the Declaration and all exhibits attached thereto, shall include, but not be limited to, electric power, hot and cold water, heating and refrigeration, air-conditioning, garbage and sewage disposal and other required services imposed by governmental authorities.

3. DEVELOPMENT PLANS, PHASE 1 AND PHASE 2

3.1 Improvements

3.1.1 Annexed hereto and made a part hereof as Exhibit "A" is the survey. Phase 1 of Holiday Plaza consists of one building containing 15 units and the real property described on Exhibit "A" as Legal Description Phase 1". The possible additional phase, i.e. Phase 2 is described on Exhibit A as Legal Description Phase 2. Phase 2, if constructed would consist of one building containing 15 units. The building in Phase 2 shall be as described on Exhibit B as Proposed Phase 2, with Exhibit "B" showing the site plan, elevation, and typical storefront/party wall/side wall, and graphic descriptions of all units in Phase 1 and Phase 2, including their identification numbers, locations, and dimensions. The legend and notes contained therein are incorporated herein and made a part hereof by reference. The legal description of each unit shall consist of the identifying number of such unit as shown on Exhibit B, attached hereto. The legal description for each unit, consisting of the identifying number of each such unit in Phase 2 is also shown on Exhibit "B" as Proposed Phase 2". Every deed, lease, mortgage, or other instrument may legally describe a unit and or condominium parcel by its identifying number as provided for on the attached Exhibit B; and each and every description shall be deemed good and sufficient for all purposes.

Pursuant to Section 718.104 (4)(e), Florida Statutes, completed units within each substantially completed building may be conveyed by the Developer to purchasers, notwithstanding that the other buildings in the Condominium are not substantially completed, provided that all planned improvements of the Condominium, including but not limited to landscaping, utility services, and access to the units and common element facilities serving such building, as set forth in this Declaration are first completed and that this Declaration has been recorded in the public records of Walton County, Florida. With respect to the units being conveyed, a certificate of surveyor shall be recorded with the original of this Declaration or as an amendment thereto and shall include, in addition to all statutory requirements, a certification that all planned improvements of the Condominium, including but not limited to landscaping, utility services and access to the unit and common element facilities serving the building in which the units to be conveyed are located have been substantially completed. When the remaining building in Phase 2 is substantially completed, a further survey shall be recorded in the public records of Walton County, Florida, as an amendment to the Declaration of Condominium of the Condominium and notwithstanding any other provision herein to the contrary such amendment need be executed by the Developer only, without any consent of the Association, its members or any lienors or mortgagees.

3.1.2 Where more than one (1) typical unit has been acquired by the same owner and combined into a single commercial unit, the unit plans, as described in Exhibit "B" may not reflect

the interior plans of the combined units; but the exterior boundaries of the combined units remain the same. Should any units be combined, combined units shall exist as separate units as described in this Declaration for the purposes of applying the provisions of this Declaration and all exhibits attached hereto.

4. UNIT BOUNDARIES

Each unit shall include that part of the unit which boundaries are as follows:

4.1 Upper & Lower Boundary

The upper and lower boundaries of the unit shall be the following boundaries extended to an intersection with the perimetrical boundaries.

4.1.1 Upper Boundary shall be the horizontal plane of the underside of the finished roof, which shall include the space between the finished drop ceiling and finished roof.

4.1.2 Lower Boundary shall be the horizontal plane of the undecorated, finished floor.

4.2 Perimetrical Boundaries

The perimetrical boundaries of the unit shall be the vertical plane of the undecorated and/or unfinished inner surfaces of the walls bounding the unit, extended to intersections with each other and with the upper and lower boundaries.

4.3 Boundaries - Further Defined

The boundaries of the unit shall not include all of those spaces and improvements lying within the undecorated and/or unfinished inner surfaces of the perimeter walls and those surfaces below the undecorated finished floor of each unit, and further, shall not include those spaces and improvements lying within the undecorated and/or unfinished inner surfaces of all interior bearing walls and/or bearing partitions, and further, shall exclude all pipes, ducts, wires, conduits, and other utilities running through any interior wall or partition for the furnishing of utility services to other units and/or for common elements. In those units where attic storage access is provided, a unit owner may use the crawl space for storage at the unit owner's risk. Any damage caused to the unit or common elements by using this storage area shall be the singular expense of the unit owner.

4.4 Amendment of Plans

Developer reserves the right to change the interior design and arrangement of all apartments and to install doors in the party wall dividing two apartments to allow access between the apartments, so long as the owners of both apartments approve such alterations, without the necessity of any amendment to this

Declaration or any of its exhibits. The Developer also reserves the right to alter the boundaries between the apartments, as long as Developer owns the apartments so altered. No such change shall increase the number of apartments nor alter the amount of the common elements without amendment of this Declaration by approval of the Association, apartment owners and owners of mortgages in the manner so authorized, such changes shall be reelected by amendment of this Declaration. if more than one apartment is concerned, the Developer shall apportion between the apartment, the shares of the common elements appurtenant to the apartments concerned.

Any such amendment need be executed by the Developer only, without any consent of the Association, its members or any lienors or mortgagees of the condominium or of an apartment.

5. OWNERSHIP

5.1 Type of Ownership

Ownership of each commercial condominium parcel may be in fee simple or in any other estate in real property recognized by law and subject to this Declaration.

5.2 Association Membership

The owners of record of the units shall be members of the Association. There shall be one (1) membership for each unit; and if there is more than one (1) record owner per unit, then such membership shall be divided among such owners in the same manner and proportion as is their ownership in the unit.

5.3 Unit Owner's Rights

The owner of a unit is entitled to the exclusive possession of his unit. He shall be entitled to use the common elements in accordance with the purposes for which they are intended, but no such use shall hinder or encroach upon the lawful rights of owners of other units. There shall be a joint use of the common elements; and a joint, mutual easement for that purpose is hereby created.

6. RESTRAINT UPON SEPARATION & PARTITION OF COMMON ELEMENTS

The fee title of each commercial condominium parcel shall include both the condominium unit and an undivided interest in the common elements; said undivided interest in the common elements is deemed to be conveyed or encumbered with its respective condominium unit, even though the description in the instrument of conveyance may refer only to the fee title to the condominium unit. The share in the common elements appurtenant to a unit cannot be conveyed or encumbered, except together with the unit. Any attempt to separate and/or any action to partition the fee title to a condominium unit from the undivided interest in the common elements appurtenant to each unit shall be null and void.

7. PERCENTAGE OF OWNERSHIP OF COMMON ELEMENTS

Each of the unit owners of the commercial condominium shall own an undivided one-fifteenth (1/15) interest in the common elements. If the land set forth on Exhibit "A" shown as Phase 2 is submitted to the condominium form of Ownership as part of this condominium, then each of the unit owners of the commercial condominium shall own an undivided one-thirtieth (1/30) in the common elements.

8. COMMON EXPENSE & COMMON SURPLUS

The common expenses to be borne by each unit owner shall be a proportionate share of the total expenses and costs of the Association. Each unit owner shall be responsible for a portion of the common expenses and costs, and such share shall be in the percentage of the undivided share in the common elements to his unit as set forth in Exhibit "C" of this Declaration. Any common surplus of the Association shall be owned by each of the unit owners in the same proportion as their percentage liability for common expenses.

9. MAINTENANCE, ALTERATIONS, AND IMPROVEMENTS

Responsibility for the maintenance of the commercial condominium property and restrictions upon its alterations and improvements shall be as follows:

9.1 Units

9.1.1 By the Association. The association shall maintain, repair, and replace at the Association's expense:

9.1.1.1 All portions of a unit contributing to the support of the commercial condominium building, which portions shall include, but not be limited to, outside walls of the building and all fixtures on its exterior, other than the unit owners' signs, those portions of boundary walls not a part of unit; floor and ceiling slabs, load-bearing columns, and load-bearing walls.

9.1.1.2 All conduits, ducts, plumbing, wiring, and other facilities for the furnishing of utility services contained in the portion of a unit maintained by the Association, and all such facilities contained within a unit that service part or parts of the commercial condominium other than the unit within which contained

9.1.1.3 All incidental damage caused to a unit by such work immediately above described shall be repaired promptly at the expense of the Association.

9.1.2 By the Unit Owner. The responsibility of the unit owner shall be as follows:

9.1.2.1 To keep and maintain his unit, its equipment, and appurtenances in good order, condition, and repair, and to perform promptly all maintenance and repair work within the unit which, if omitted, would affect the commercial condominium in its entirety or in a part belonging to others, being expressly responsible for the damages and liability which his failure to do so may engender. Notwithstanding anything contained in this Declaration, the owner of each unit shall be liable and responsible for the maintenance, repair, and replacement, as the case may be, of all windows and all exterior doors, including sliding glass doors and all air-conditioning and heating equipment, stoves, refrigerators, fans, and other appliances and equipment, including pipes, wiring, ducts, fixtures, and/or their connection required to provide water, light, power, air-conditioning and heating, telephone, sewerage, and sanitary service to his unit which may now or hereafter be situated in his unit. To maintain, repair, and replace sewerage lines from plumbing fixtures within the unit to the main (common) sewer line connecting to city sewerage.

9.1.2.2 To maintain, repair, and replace any and all walls, ceilings, and floor interior surfaces, painting, decorating, and furnishings, and all other accessories which such owner may desire to place and maintain in his unit and the exterior sign above each unit.

9.1.2.3 Where applicable, to maintain and keep in a neat and trim condition the floor and interior walls.

9.1.2.4 To promptly report to the Association any defect or need for repairs for which the Association is responsible.

9.1.2.5 Plumbing and electrical repairs to fixtures and equipment located within a unit and exclusively servicing a unit shall be paid for and be a financial obligation of the unit owner.

9.1.2.6 Any officer of the Association or any agent of the Board shall have the irrevocable right to have access to each unit from time-to-time during reasonable hours as may be necessary for inspection, maintenance, repair, or replacement of any common element therein or accessible therefrom, or for making emergency repairs therein necessary to prevent damage to the common elements or to another unit or units.

9.1.2.7 Not to paint or otherwise decorate or change the appearance of any portion of the exterior of the commercial condominium building and/or property.

9.1.3 Alteration & Improvement. Except as elsewhere reserved to the Developer, neither a unit owner nor the Association shall make any alteration in the portions of a unit that are to be maintained by the Association, remove any portion of such, make any additions to them, do anything that would jeopardize the safety or soundness of the building or impair any easement, without first

obtaining approval in writing of owners of all units in the building and approval of the Board of Directors of the Association. A copy of plans for all such work prepared by an architect licensed to practice in this state shall be filed with the Association prior to the start of the work.

9.2 Common Elements

9.2.1 By the Association. The maintenance and operation of the limited common elements and common elements, including the repair, maintenance, and replacement of landscaping and other improvements and facilities shall be the responsibility of the Association as a common expense. Such expense shall include the repair, maintenance, and replacement of the common sign provided by Developer advertising Holiday Plaza.

9.2.2 Alteration & Improvement. After the completion of the improvements included in the common elements contemplated by this Declaration, there shall be no alteration or further improvement of the real property constituting the common elements without prior approval in writing by not less than two-thirds (2/3) of the members of the Association, if the cost of same shall be a common expense which exceed in cumulative expenditure for the calendar year, the sum of One Thousand Dollars and no/100 (\$1,000.00). Any such alteration or improvement shall not interfere with the rights of any unit owner without their consent. The cost of such work shall not be assessed against an institutional mortgagee, as defined in paragraph 2.13 herein that acquires its title so the result of owning a mortgage upon a unit owned, unless such owner shall approve the alteration or improvement, and this shall be so whether the title is acquired by deed from the mortgagor or through foreclosure proceedings. The share of any cost not so approved by an institutional mortgagee shall be assessed to the other unit owners in the proportion that their shares for the common expenses bear to each other.

There shall be no change in the shares and rights of a unit owner in the common elements or in his share of the common expenses whether or not the unit owner contributes to the costs of such alteration or improvements.

9.2.3 Personal Property. Any personal property acquired by the Association may be sold or mortgaged or otherwise disposed of by the Association.

9.3 Enforcement of Maintenance

In the event the owner of a unit fails to maintain a unit as required above, the Association, Developer, or any other unit owner shall have the right to proceed to any appropriate court to seek compliance with the foregoing provisions, or the Association shall have the right to assess the unit owner and the unit for the necessary sums to put the improvements within the unit in good condition. After such assessment, the Association shall have the

right to have its employees or agents enter the unit and do the necessary work to enforce compliance with the above provisions. Further, in the event a unit owner violates any of the provisions of this section, the Developer and/or the Association shall have the right to take any and all such steps as may be necessary to remedy such violation, including, but not limited to, entry of the subject unit with or without the consent of the unit owner, and the repair and maintenance of any item requiring same, all at the expense of the unit owner.

10. USE RESTRICTIONS

The use of the property of the condominium shall be in accordance with the following provisions:

10.1 Units

10.1.1 Except as reserved to the Developer, no unit may be divided or subdivided into a smaller unit nor any portion thereof sold or otherwise transferred without first amending this Declaration to show the changes in the units to be affected thereby.

10.1.2 Nothing shall be hung, displayed, or placed on the exterior walls, doors, or windows of the unit or building without the prior written consent of the Board of Directors of the Association, except that the unit owner or his lessee may insert a business name on the exterior wall above the front porch roof between the property walls.

10.1.3 No owner shall make, allow, or cause to be made any structural addition or alteration of his unit or the common elements without the prior written consent of the Association.

10.1.4 No unit shall be used or occupied for residential purposes. No unit shall be used as a pet store, retail seafood market, mortuary, machine shop, or adult entertainment establishment, or other business deemed offensive by the owners association.

10.1.5 Units may be used as restaurants on the condition that the unit owner who desires to use his unit in this manner provide for adequate ventilation such that food odors are not carried onto or about the premises of the other condominium units. Use of a unit as restaurant shall be subject to prior approval of the Association's Board of Directors.

10.2 Increase & Decrease in Size & Number of Units

Any unit owner or owners shall have the right to combine or divide units owned by such unit owner or owners as long as the common interest appurtenant to such unit after the combination or division shall equal in total the common interest applicable to the unit or units divided or combined prior to the division or combination. Any such division or combination shall require the written consent of

the Board of Directors and shall be in compliance with all governmental laws, codes, ordinances, and regulations. The cost of any combination shall be the responsibility of the owner or owners of the units being divided or combined.

10.3 Common Elements & Limited Common Elements

The common elements and limited common elements shall be used only for the purpose for which they are intended.

10.4 Nuisances

No nuisances shall be allowed on the commercial condominium property nor any use or practice which is the source of annoyance to occupants or which interferes with the peaceful possession and proper commercial use of the property by its occupants. All parts of the property shall be kept in a clean and sanitary condition, and no rubbish, refuse, or garbage shall be allowed to accumulate or any fire hazard allowed to exist. No unit owner shall permit any use of his unit or of the common elements which will increase the rate of insurance upon the commercial condominium property.

10.5 Lawful Use

No immoral, improper, offensive, or unlawful use shall be made of the commercial condominium property or any part thereof; and all valid laws, zoning ordinances, and regulations of all governmental bodies having jurisdiction thereof shall be observed. The responsibility of meeting the requirements of governmental bodies which require maintenance, modification, or repair of the condominium property shall be the same as the responsibility for the maintenance and repair of the property concerned.

10.6 Signs

No signs shall be displayed from a unit or on common elements, except such signs as shall have advance written approval by the Board of Directors.

10.7 Rules & Regulations

Reasonable rules and regulations concerning the use of the commercial condominium property may be made and amended from time-to-time by the Association in the manner provided by its Articles of Incorporation and By-Laws. Copies of such regulations and amendments thereto shall be furnished by the Association to all unit owners and residents of the condominium upon request.

10.8 Proviso

Provided, however, that until the Developer has completed all of the contemplated improvements and closed the sales of all of the units of this condominium and the possible additional phase set forth herein, neither the unit owners nor the Association nor the use of the commercial condominium property shall interfere with the

completion of all contemplated improvements and the sale of all units; and the Developer may make such use of the unsold units and common areas as may facilitate such completion and sale, including, but not limited to, maintenance of a sales office, showing of the property, and the display of signs .

10.9 Courtyard

Individual unit owner shall have the right to use the courtyard as a common element of the condominium and as part of this right the unit owner shall have the right to set up tables for restaurant service and other business use. All retail or business use of the courtyard area by a unit owner shall require the approval of the Board of Directors. Any unit owner who conducts any business in the Courtyard area without the approval of the Board of Directors will be subject to a fine to be imposed by the Association. Further, a unit owner shall be responsible for the maintenance of the courtyard as a result any business or retail use of the courtyard area by that owner. The failure to maintain the portion of the courtyard area used by a unit owner may result in the revocation of that privilege or fines by the Association.

11. TRANSFER OF OWNERSHIP INTERESTS

Subject to the provisions of this Declaration, the Articles of Incorporation, and the Association ByLaws, unit owners shall have the right to freely sell, lease, devise, mortgage, or otherwise transfer their ownership or possessor interest in their units.

11.1 Notice of Lien or Suit

11.1 Notice of Lien. A unit owner shall give notice to the Association of every lien upon his unit other than for permitted mortgages, taxes, and special assessments within five (5) days after the attaching of the lien.

11.2 Notice of Suit. A unit owner shall give notice to the Association of every suit or other proceeding which may affect title to his unit, such notice to be given within five (5) days after the unit owner receives knowledge thereof.

11.1.3 Failure to comply with this subsection concerning liens will not affect the validity of any judicial sale.

12. PARKING SPACES

The following provisions shall be applicable to the assignment of parking spaces.

12.1 Assignment of Parking Spaces

The parking area shall exist as a common element. Parking spaces in the front of the buildings shall not be assigned to individual units, except as provided in Paragraph 12.2 hereof. Parking spaces in the rear of the buildings shall be assigned as

limited common elements to the condominium units on the second floor as shown on the site plan.

12.2 Abuse of Parking Privileges

The Board of Directors shall have the power to determine whether a unit has abused its parking privileges. Upon making determination that parking privileges have been abused, the Board of Directors shall have the right and power to assign particular parking spaces to the individual units. In no event shall a unit be assigned less than four (4) parking spaces.

13. EASEMENTS

Each of the following easements is a covenant running with the land of the commercial condominium and notwithstanding any of the other provisions of this Declaration may not be substantially amended or revoked in such a way as to unreasonably interfere with their proper and intended use and purpose, and shall survive the termination of the commercial condominium and the exclusion of any lands of the commercial condominium from the commercial condominium.

13.1 Utilities

As may be required for utility services in order to adequately serve the condominium property, provided, however, easements through a unit shall be only according to the plans and specifications for the building or as the building is actually constructed, unless approved, in writing, by the unit owner.

13.2 Pedestrian & Vehicular Traffic

For pedestrian traffic over, through, and across sidewalks, paths, lanes, and walks, as the same may from time-to-time exist upon the common elements; and for the vehicular traffic over, through, and across such portions of the common elements as may be from time-to-time paved and intended for such purposes.

13.3 Support

Every portion of a unit contributing to the support of the condominium building or an adjacent unit shall be burdened with an easement of support for the benefit of all other units and common elements in the building.

13.4 Perpetual Non-exclusive Easement in Common Elements

The common elements shall be and the same is hereby declared to be subject to a perpetual nonexclusive easement in favor of all of the owners of units in the commercial condominium for their use and the use of their agents, lessees, and invitees, for all proper and normal commercial purposes, and for the furnishing of services and facilities for which the same are reasonably intended for the enjoyment of said owners.

13.5 Right of Entry into Units in Emergencies

In case of an emergency originating in or threatening any unit, regardless of whether or not the owner is present at the time of such emergency, the Board of Directors of the Association, or any other person authorized by it, or the building manager or managing agent, shall have the right to enter such unit for the purpose of remedying or abating the cause of such emergency, and such right of entry shall be immediate and to facilitate entry in the event of any such emergency. The owner of each unit, if required by the Association, shall deposit under the control of the Association, a key to such unit.

13.6 Right of Entry for Maintenance of Common Property

Whenever it is necessary to enter any unit for the purpose of performing any maintenance, alteration, or repair to any portion of the condominium property, the owner of each unit shall permit other owners by their representatives, or the duly constituted and authorized agent of the Association, to enter such unit for such purpose, provided that such entry shall be made only at reasonable times and with reasonable advance notice.

13.7 Easement for Unintentional & Nonnegligent Encroachment

In the event that any unit shall encroach upon any of the common elements for any reason not caused by the purposeful or negligent act of the unit owner or owners, or agents of such owner or owners, then an easement appurtenant to such unit shall exist for the continuance of such encroachment into the common elements for so long as such encroachment shall naturally exist; and in the event that any portion of the common elements, shall encroach upon any unit, then an easement shall exist for the continuance of such encroachment of the common elements into any unit for so long as such encroachment shall naturally exist.

13.8 Air Space

An exclusive easement for the use of the air space occupied by a commercial condominium unit as it exists at any particular time and as the unit may lawfully be altered.

13.9 Easements or Encroachments

Easements or encroachments by the perimeter walls, ceilings, and floor surrounding each commercial condominium unit.

13.10 Easement for Overhangs

Easement for overhanging troughs or gutters, down spouts, and the discharge therefrom of rainwater and the subsequent flow thereof over commercial condominium units or any of them.

13.11 Easement for Air Space of Common Elements

An exclusive easement for the use of the area and air space occupied by the air-conditioning compressor and the equipment and fixtures appurtenant thereof, situated in and/or on common elements of the commercial condominium but exclusively serving and individually owned by the owner of the unit, as the same exist in and on the land, which exclusive easement shall be terminated automatically in any air space which is permanently vacated by such air-conditioning compressor, and the equipment and fixtures appurtenant thereto, provided, however, that the removal of same for repair and/or replacement shall not be construed to be a permanent vacation of the air space which it occupies.

14. ASSOCIATION

In order to provide for the proficient and effective administration of this commercial condominium and Phase 2 if it is submitted to the condominium form of ownership and becomes a part of Holiday Plaza Phase I, a commercial condominium, by the owners of units, a nonprofit corporation, known and designated as Holiday Plaza OWNER'S ASSOCIATION, INC. has been organized under the laws of the State of Florida, and said corporation shall administer the operation and management of this commercial condominium and undertake and perform all acts and duties incident thereto in accordance with the terms, provisions, and conditions of this Declaration of Condominium, its By-Laws, and the Rules and Regulations promulgated by the Association from time-to-time.

14. 1 Articles of Incorporation

A copy of the Articles of Incorporation of the Association is attached hereto as Exhibit "D".

14.2 By-Laws

The By-Laws of the Association shall be the by-laws of the commercial condominium, a copy of which is attached hereto as Exhibit "E".

14.3 Limitation Upon Liability of Association

Notwithstanding the duty of the Association to maintain and repair parts of the commercial condominium property, the Association shall not be liable to unit owners for injury or damage, other than the cost of maintenance and repair caused by any latent condition of the property to be maintained and repaired by the Association or caused by the elements or other owners or persons.

14.4 Restraint Upon Assignment of Shares in Assets

The shares of members in the funds and assets of the Association cannot be assigned, hypothecated, or transferred in any manner, except as an appurtenance to a unit.

14.5 Approval or Disapproval of Matters

Whenever the decision of a unit owner is required upon any matter, whether or not the subject of an Association meeting, such decision shall be expressed in accordance with the By-Laws of the Association.

14.6 Membership

The record owners of all units in this commercial condominium shall be members of the Association; however, the record owner may designate an affiliated person to vote that unit's interest by proxy. The proxy designation shall be subject to provisions set forth in the Association By-Laws. Membership shall be established by acquisition of ownership of fee title to, or fee interest in, a condominium parcel in said commercial condominium, whether by conveyance, devise, judicial decree or otherwise, subject to the provisions of this Declaration, and by the recordation among the public records of Walton County, Florida, of the deed or other instrument establishing the acquisition and designating the parcel affected hereby and by the delivery to the Association of a true copy of such recorded deed or other instrument. The new owner designated in such, recorded deed or other instrument shall thereupon become a member of the Association, and the membership of the prior owner as to the parcel designated shall be terminated.

14.7 Voting

On all matters as to which the membership shall be entitled to vote, there shall be only one (1) vote for each unit. If a unit is owned by more than one (1) natural person, all record owners of the unit may vote in person or by proxy in the same manner and proportion as their ownership in the unit. Similarly, if Phase 2 is added to this condominium, then there shall be one vote for each unit in Phase 2.

15. INSURANCE

The insurance, other than title insurance, which shall be carried upon the commercial condominium property and the property of the unit owners, shall be governed by the following provisions

15.1 Authority to Purchase

All insurance policies upon the commercial condominium property shall be purchased by the Association. For the benefit of the Association and the unit owners and their mortgagees, as their interest may appear; and the provisions shall be made for the issuance of certificates or mortgagee endorsements to the mortgagees of unit owners. Such policies and endorsements shall be deposited with the Insurance Trustee. Unit owners may obtain insurance coverage at their own expense upon their personal property and for their personal liability and living expense. All policies purchased by the Association must be written by insurance companies authorized to do business in the State of Florida, and with offices or agents in Florida, provided, however, all such insurance policies must be accepted and approved by the

institutional mortgagee holding the largest aggregate dollar sum of mortgages encumbering condominium parcels in the commercial condominium, said sum to be ascertained at the time of purchase or renewal of each policy.

15.2 Coverage

15.2.1 Casualty. All buildings and improvements upon the land, including units and all personal property of the Association included in the commercial condominium property, are to be insured in an amount equal to the maximum insurable replacement value, excluding foundation and excavation costs as determined annually by the Board of Directors of the Association; and all such insurance must be obtained, if possible, from the same company. Such coverage shall provide protection against:

15.2.1.1 Loss or damage by fire and other hazards covered by a standard extended coverage endorsement and flood disaster insurance.

15.2.1.2 Such other risks as from time-to-time shall be customarily covered with respect to buildings similar to construction, location, and use, including, but not limited to, vandalism and malicious mischief.

15.2.2 Public Liability. In such amounts and with such coverage as shall be required by the Board of Directors of the Association with cross liability endorsements to cover liability of the unit owners as a group to a unit owner.

15.2.3 Workmen's Compensation As shall be required to meet the requirements of law.

15.2.4 Association Insurance. Such other insurance as the Board of Directors of the Association, in its discretion, may determine from time-to-time to be in the best interest of the Association and the unit owners, including Directors' Liability Insurance or other Insurance that on institutional mortgagee may reasonably require, so long as it is the owner of a mortgage on any condominium parcel.

15.3 Premiums

Premiums for insurance policies purchased by the Association shall be paid by the association. Each unit shall be assessed its pro rate share of the premiums. In the event that the nature of the commercial activity conducted in or about a particular unit caused an increase in premiums over and above what they would otherwise be, the Board of Directors shall have the right and power to assess said increase against said unit.

15.4 Assured

All insurance policies purchased by the Association shall be for the benefit of the Association and the unit owners and their

mortgagees as their interest may appear and shall provide that all proceeds covering casualty losses shall be paid to the Association Manager, as may be approved and designated insurance trustee by the Board of Directors of the Association, which trustee is herein referred to as the "Insurance Trustee." All insurance policies shall require written notification to each institutional mortgagee not less than ten (10) days in advance of cancellation of any insurance policy insuring the condominium property.

The Insurance Trustee shall not be liable for payments of premiums nor for the renewal or sufficiency of the policies nor for the failure to collect any insurance proceeds. The duty of the Insurance Trustee shall be to receive such proceeds as are paid and hold same in trust for the purposes elsewhere stated herein and for the benefit of the unit owners and their mortgagees in the following shares, but which shares need not be set forth in the records of the Insurance Trustee.

15.4.1 Common Elements. Proceeds on account of common elements shall be held in as many undivided shares as there are units in each building, the shares of each unit owner being the same as his share in the common elements, as same are hereinabove stated

15.4.2 Units. Proceeds on account of units shall be held in the following undivided shares:

15.4.2.1 Partial Destruction. When the building is to be restored, for the owners of damaged units in proportion to the cost of repairing the damage suffered by each unit owner.

15.4.2.2 Total Destruction. When the building is to be restored, for the owners of all units in the building in proportion to their share of the common elements appurtenant to their unit.

15.4.2.3 Mortgagee. In the event a mortgagee endorsement has been issued as to a unit, the share of the unit owner shall be held in trust for the mortgagee and the unit owner as their interests appear. In no event shall any mortgagee have the right to demand the application of insurance proceeds to any mortgage or mortgages which it may hold against units, except to such extent as said insurance proceeds may exceed the actual cost of repair or restoration of the damaged building or buildings, and no mortgagee shall have any right to participate in the determination as to whether or not improvements will be restored after casualty.

15. 5 Distribution of Proceeds

Proceeds of insurance policies received by the Insurance Trustee shall be distributed to or for the benefit of the beneficial owners in the following manner:

15.5.1 Expense of the Trust. All expenses of the Insurance Trustee shall be first paid or provisions made therefore.

15.5.2 Reconstruction or Repair. If the damage for which the proceeds are paid is to be repaired or reconstructed, the remaining proceeds shall be paid to defray the costs thereof as elsewhere provided. Any proceeds remaining after defraying such costs shall be distributed to the beneficial owners, remittances to unit owners and their mortgagees being payable jointly to them. This is a covenant for the benefit of any mortgagee of a unit and may be enforced by such mortgagee.

15.5.3 Failure to Reconstruct or Repair. If it is determined in the manner elsewhere provided that the damages for which the proceeds are paid shall not be reconstructed or repaired, the remaining proceeds shall be distributed to the beneficial owners, remittances to unit owners, and their mortgagees being payable jointly to them. This is a covenant for the benefit of any mortgagee of a unit and may be enforced by such mortgagee.

15.5.4 Certificate. In making distribution to unit owners and their mortgagees, the Insurance Trustee may rely upon a certificate to the Association made by the president and Secretary as to the names of the unit owners and their respective shares of the distribution.

15.5.5 Association as Agent. The Association is hereby irrevocably appointed agent for each unit owner to adjust all claims arising under insurance policies purchased by the Association.

16. RECONSTRUCTION OR REPAIR AFTER CASUALTY

16.1 Determination to Reconstruct or Repair

If any part of the commercial condominium property shall be damaged by casualty, whether or not it shall be reconstructed or repaired shall be determined in the following manner:

16.1.1 Common Elements. If the damaged improvement is a common element, the damaged property shall be reconstructed or repaired, unless it is determined in the manner elsewhere provided that the condominium shall be terminated.

16.1.2 Commercial Condominium Building

16.1.2.1 Lesser Damage If the damaged improvement is a part of the commercial condominium building and if units to which fifty percent (50%) of the common elements or appurtenances are found by the Board of Directors of the Association to be tenantable, the damaged property shall be reconstructed or repaired, unless within sixty (60) days after the casualty it is determined in the manner elsewhere provided that the condominium shall be terminated.

16.1.2.2 Major Damage. If the damaged improvement is part of the commercial condominium building and if units to which more than fifty percent (50%) of the common elements are

appurtenant are found by the Board of Directors of the Association to be not tenantable, then the damaged property will not be reconstructed or repaired; and the commercial condominium will be terminated as elsewhere provided, unless within sixty (60) days after the casualty, the owners of seventy-five percent (75%) of the common elements agree in writing to such reconstruction or repair.

16.1.3 Certificate. The Insurance Trustee may rely upon a certificate of the Association made by the President and Secretary to determine whether or not the damaged property is to be reconstructed or repaired.

16.2 Plans and Specifications

Any reconstruction or repair must be substantially in accordance with the plans and specifications for the original building, portions of which are attached hereto as exhibits, or if not, then according to plans and specifications approved by the Board of Directors of the Association, and if the damaged property is the commercial condominium building, by the owners of not less than seventy-five percent (75%) of the common elements, including the owners of all damaged units, which approval shall not be unreasonably withheld.

16.3 Responsibility

If the damage is only to those parts of one (1) unit for which the responsibility of maintenance and repair is that of the unit owner, then the unit owner shall be responsible for reconstruction and repair after casualty. In all other instances, the responsibility of construction or repair after casualty shall be that the Association.

16.4 Estimate of Cost

Immediately after a casualty causing damage to property for which the Association has the responsibility of maintenance and repair, the Association shall obtain reliable and detailed estimates of the cost to repair or rebuild.

16.5 Assessments

If the proceeds of insurance are not sufficient to defray the estimated costs of reconstruction and repair by the Association, or if at any time during the reconstruction and repair the funds for the payment of the costs thereof are insufficient, assessments shall be made against the unit owners who own the damaged units and against all unit owners in the case of damage to common elements, in sufficient amounts to provide funds to pay the estimated costs. Such assessments against the unit owners for damage to units shall be in proportion to the cost of reconstruction and repair of their respective units. Such assessments on account of damage to common elements shall be in proportion to the owner's share in the common elements.

16.6 Deductible Provision

The funds necessary to cover any deductible amount under an insurance policy against which a claim is made shall be a common expense.

16.7 Construction Funds

The funds for payment of costs of reconstruction and repair after casualty which shall consist of proceeds of insurance held by the Insurance Trustee and funds collected by the Association from assessments against unit owners shall be disbursed in payment of such costs in the following manner.

16.7.1 Association. If costs of reconstruction and repair which are the responsibility of the Association are more than Five Thousand Dollars (\$5,000.00), then the sums paid upon assessments to meet such costs shall be deposited by the Association with the Insurance Trustee. In all other cases, the Association shall hold the sums paid upon such assessments and disburse the same in payment of the costs of reconstruction and repair.

16.7.2 Insurance Trustee. The proceeds of insurance collected on account of a casualty and the sums deposited with the Insurance Trustee by the Association from the collections of assessments against unit owners on account of such casualty shall constitute a construction fund, which shall be disbursed in payment of the costs of reconstruction and repair in the following manner:

16.7.2.1 Unit Owner. The portion of insurance proceeds representing damage for which the responsibility of reconstruction and repair lies with the unit owner, shall be paid by the Insurance Trustee to the unit owner; or if there is a mortgagee endorsement, then to the unit owner and the mortgagee jointly.

16.7.2.2 Association - Lesser Damage. If the amount of the estimated costs of reconstruction and repair which is the responsibility of the Association is less than Five Thousand Dollars (\$5,000.00), then the construction fund shall be disbursed in payment of such costs upon the order of the Association, provided, however, that upon request to the Insurance Trustee by the mortgagee, which is a beneficiary of an insurance policy, the proceeds of which are included in the construction fund, such fund shall be disbursed in the manner hereafter provided for the reconstruction and repair of major damage.

16.7.2.3 Association - Major Damage. If the amount of the estimated costs of reconstruction and repair, which is the responsibility of the Association, is more than Five Thousand Dollars (\$5,000.00), then the construction fund shall be disbursed in payment of such costs in the manner required by the Board of Directors of the Association and upon approval of an architect qualified to practice in the State of Florida and employed by the Association to supervise the work.

16.7.2.4 Surplus. It shall be presumed that the first monies disbursed in payment of costs of reconstruction and repair shall be from insurance proceeds. If there is a balance in the construction fund after payment of all costs of the reconstruction and repair for which the fund is established, such balance shall be distributed to the beneficial owners of the fund in the manner elsewhere stated, except, however, that the part of a distribution to a beneficial owner which is not in excess of assessments paid by such owner into the construction fund shall not be made payable to any mortgagee.

16.7.2.5 Certificate. Notwithstanding the provisions here, the Insurance Trustee shall not be required to determine whether or not sums paid by unit owners upon assessments shall be deposited by the Association with the Insurance Trustee, nor to determine whether the disbursements from the construction fund are to be upon the order of the Association or upon approval of an architect or otherwise, nor whether a disbursement is to be made from the construction fund nor to determine the payee nor the amount to be paid, nor to determine whether surplus funds to be distributed are less than the assessments paid by owners. Instead, the Insurance Trustee may rely upon a certificate of the Association made by its President and Secretary as to any or all of such matters and stating that the sums to be paid are due and properly payable and stating the name of the payee and the amount to be paid, provided that when a mortgagee is herein required to be named as payee, the Insurance Trustee shall also name the mortgagee as payee of any distribution of insurance proceeds to a unit owner, and further provided that when a mortgagee is herein or a mortgagee which is the beneficiary of an insurance policy the proceeds of which are included in the construction funds, so requires, the approval of an architect named by the Association shall first be obtained by the Association upon disbursements in payment of costs of reconstruction and repair.

17. ASSESSMENTS

The making and collecting of assessments against unit owners for common expenses shall be the obligation of the Board of Directors pursuant to the By-Laws and subject to the following provisions:

17.1 Share of the Common Expenses

Each unit owner shall be liable for a proportionate share of the common expenses and shall be entitled to an undivided share of the common surplus, such shares being set forth in Exhibit "C". A unit owner, regardless of how title is acquired, including, without limitation, a purchaser at a judicial sale, shall be liable for all assessments coming due while he is the owner of a unit. In a voluntary conveyance, the grantee shall be jointly and severally liable with the grantor for all unpaid assessments against the latter for his share of the common expenses up to the time of such voluntary conveyance, without prejudice to the rights of the grantee to recover from the grantor the amounts paid by the grantee therefor.

The liability for assessments may not be avoided by waiver of the use or enjoyment of any common elements or by abandonment of the unit for which the assessment is made.

17.3 Interest. Application of Payments

Assessments and installments on such assessments paid on or before ten (10) days after the date when due shall not bear interest, but all sums not paid on or before ten (10) days after the date when due shall bear interest at the highest rate allowed by the laws of the State of Florida from the date when due, until paid. All payments upon account shall be first applied to interest and then to the assessment payment first due.

17.4 Lien for Assessments

The Association shall have a lien on each condominium parcel for any unpaid assessments, together with interest thereon against the owner of such condominium parcel, together with a lien on all tangible personal property located within the unit, except that such lien upon the aforesaid tangible personal property shall be subordinate to prior bona fide liens of record. Reasonable attorney's fees incurred by the Association incident to the collection of such assessment for the enforcement of such lien, together with all sums advanced and paid by the Association for taxes and payment on account of superior mortgages, liens, or encumbrances which may be required to be advanced by the Association in order to preserve and protect its lien shall be payable by the unit owner and secured by such lien. The Association's liens shall also include those sums advanced on behalf of each unit owner in payment of his obligation for use charges and operation costs likewise referred to as common expenses.

Said lien shall be effective from and after the time of recording in the public records of Walton County, Florida, of a claim of lien stating the description of the condominium parcel, the name of the record owner, the amount due, and the date when due; and the lien shall continue in effect until all sums secured by the lien shall have been fully paid. Such claims of lien shall be signed and verified by an officer of the Association. Upon full payment, the party making payment shall be entitled to a recordable satisfaction of the lien. All such liens shall be subordinate to the lien of an institutional mortgage recorded prior to the time of recording of the claim of lien.

17.5 Collection & Foreclosure

The Board of Directors may take such action as they deem necessary to collect assessments of the Association by personal action or by enforcing and foreclosing said lien, and may settle and compromise same, if in the best interests of the Association. Said lien shall be effective as and in this manner provided for under the laws of the State of Florida. The Association shall be entitled to bid at any sale held pursuant to a suit to foreclose an assessment lien

and to apply as a cash credit against its bid all sums due the Association covered by the lien enforced. In case of such foreclosure, the unit owner shall be required to pay a reasonable rental for the condominium parcel, and the plaintiff in such foreclosure shall be entitled to the appointment of a Receiver to collect same from the unit owner and/or occupant.

17.6 Liability of Mortgagee Lienor or Judicial Sale Purchaser for Assessment

Notwithstanding anything to the contrary contained in this Declaration of Condominium, where the mortgagee of a first mortgage of record or other purchaser of a unit, obtains title to a condominium parcel as a result of foreclosure of the first mortgage, or when the mortgagee of a first mortgage of record accepts a deed to said condominium parcel in lieu of foreclosure, such acquirer of title, his successors, and assigns, shall not be liable for the share of common expenses or assessments by the Association pertaining to such condominium parcel, or chargeable to the former unit owner of such parcel which become due prior to the acquisition of title as a result of the foreclosure, or the acceptance of such deed in lieu of foreclosure, unless such share is secured by a claim of lien for assessments that is recorded prior to the recording of the foreclosed mortgage. Such unpaid share of common expenses or assessments shall be deemed to be common expenses collectible from all of the unit owners, including such acquirer of title, whether as a result of foreclosure or by acceptance of a deed to the condominium parcel in lieu of foreclosure. The new owner by virtue of the acquiring of such title shall forthwith become liable for payment of the common expenses and such other expenses as may be chargeable to the owner of a condominium unit hereunder, however, any person who acquires an interest in a unit except through foreclosure of a first mortgage of record, or as a result of a deed given in lieu of foreclosure of a first mortgage of record, as specifically provided in the paragraph immediately preceding, including, without limitation, persons acquiring title by operation of law, including persons who became purchasers at judicial sales, shall not be entitled to occupancy of the unit or enjoyment of the common elements until such times as all unpaid assessments due and owing by the former owner have been paid.

17.7 Assignment of Claim & Lien Rights

The Association, acting through its Board of Directors, shall have the right to assign its claim and lien rights for the recovery of any unpaid assessment to the Developer or to any unit owner or group of unit owners, or to any third party.

17.8 Unpaid Assessments - Certificate

Any unit owner shall have the right to require from the Association a certificate showing the amount of unpaid assessments against him with respect to this condominium parcel. The holder of a mortgage or other lien shall have the same right as to any condominium

parcel upon which he has a lien. Any person other than the owner who relies upon such certificate shall be protected thereby.

18. COMPLIANCE & DEFAULT

Each unit owner shall be governed by and shall comply with the terms of the Declaration of Condominium, By-Laws, and Rules and Regulations adopted pursuant thereto, and said documents and rules and regulations as they may be amended from time-to-time. Failure of unit owners to comply therewith shall entitle the Association or other unit owners to the following relief:

18.1 Negligence

A unit owner shall be liable for the expense of any maintenance, repair, or replacement rendered necessary by his act, neglect, or carelessness, or by that of any of his agents, invitees, employees, or lessees, but only to the extent that such expense is not met by the proceeds of insurance carried by the Association. Such liability shall include any increase in insurance rates occasioned by use, misuse, occupancy, or abandonment of unit or its appurtenances or of the common elements.

18.2 Costs & Attorneys' Fees

In any proceeding arising because of an alleged failure of a unit owner to comply with the terms of the Declaration, the By-Laws, and the Rules and Regulations adopted pursuant thereto, and said documents and rules and regulations as they may be amended from time-to-time, the prevailing party shall be entitled to recover the costs of the proceeding and such reasonable attorneys' fees as may be awarded by the court.

18.3 No Waiver of Rights

The failure of the Association or any unit owner to enforce a covenant, restriction, or other provision of the Condominium Act, this Declaration or any of the exhibits attached hereto, shall not constitute a waiver of the right to do so thereafter.

19. AMENDMENT OF DECLARATION

Except as elsewhere provided otherwise, this Declaration of Condominium may be amended in the following manner:

19.1 Notice

Notice of the subject matter of a proposed amendment shall be included in the notice of any meeting at which a proposed amendment is considered.

19.2 Resolution of Adoption

A resolution adopting a proposed amendment may be proposed by either the Board of Directors of the Association or by the members

of the Association. Directors and members not present in person or by proxy at the meeting considering the amendment may express their approval in writing, providing such approval is delivered to the Secretary at or prior to the meeting. Except as elsewhere provided, such approvals must be either by:

19.2.1 Not less than seventy-five percent (75%) of the votes of the entire membership of the Board of Directors and by not less than seventy-five percent (75%) of the votes of the entire membership of the Association, or

19.2.2 Not less than eighty percent (80%) of the votes of the entire membership of the Association; or

19.3 Resolution of Adoption for Errors or Omissions Not Materially Adversely Affecting Property Rights of the Unit Owners

A resolution adopting a proposed amendment may be proposed by either the Board of Directors of the Association or by members of the Association whenever it appears that there is an omission or error in this Declaration of Condominium, or any exhibit attached hereto or amendment hereto, as follows:

19.3.1 Not less than fifty percent (50%) of the votes of the entire membership of the Board of Directors and by not less than fifty percent (50%) of the votes of the entire membership of the Association.

19.3.2 Any amendment adopted pursuant to the provisions of paragraph 19.3 shall not materially adversely affect the property rights of unit owners.

19.3.3 Until the Developer has sold and conveyed all of the units in the condominium, any amendment adopted pursuant to this paragraph 19.3 must be approved and consented to by the Developer.

19.4 Proviso

No amendment shall discriminate against any unit owner or against any unit or class or group of units, unless the unit owners so affected and their institutional mortgagees shall consent; and no amendment shall change any unit or the share in the common elements and other of its appurtenances or increase the owner's share of the common elements and other of its appurtenances or increase the owner's share of the common expenses, except as hereinabove provided, unless the owner of the unit concerned and all such mortgagees as first above recited, shall join in the execution of the amendment. Neither shall an amendment make any change in the section entitled "Insurance" nor in the section entitled "Reconstruction or Repair After Casualty," unless the record owner of all mortgages upon the condominium shall join in the execution of the amendment; nor shall any amendment of this Declaration make any change which would in any way affect any of the rights,

privileges, powers, and options of the Developer, unless the Developer shall join in the execution of such amendment.

19.5 Executions Recording

A copy of each amendment shall be attached to certificate certifying that the amendment was duly adopted, which certificate shall be executed by the officers of the Association with the formalities of a deed. The amendment shall be effective when such certificate and a copy of the amendment are recorded in the public records of Walton County, Florida.

19.6 Amendments

The section concerning termination cannot be amended without consent of all unit owners and all record owners of mortgages upon condominium parcels.

20. DEVELOPER'S UNITS & PRIVILEGES

20.1 Developer

The Developer, at the time of filing of this Declaration, is the owner of all of the real property, individual units, and appurtenances comprising this commercial condominium. Therefore, the Developer, until all of the units have been sold and closed, shall be irrevocably empowered, notwithstanding anything herein to the contrary, to sell, lease, or rent units to any person approved by the Developer. Said Developer shall have the right to transact upon the commercial condominium property any business necessary to consummate the sale of units, including, but not limited to, the right to maintain models, have signs, staff employees, maintain offices, use the common elements, and show units. Any sales office, signs, fixtures, or furnishings or other tangible personal property belonging to the Developer shall not be considered common elements and shall remain the property of the Developer.

20.2 Expenses

After the commencement date of payment of monthly common expenses, in the event there are unsold units, the Developer retains the right to be the owner of said unsold units; however, for such time as the Developer continues to be a unit owner, but does not occupy or lease the unsold units, then the developer shall not be liable for his prorata share of the common expenses for said unsold units nor shall the developer be entitled to the prorata portion of the common surplus for said unsold units.

20.3 Amendment

Notwithstanding anything herein to the contrary, the provisions of this section shall not be subject to any amendment until the Developer has sold all of the units in Holiday Plaza Phase I, a commercial condominium.

21. TERMINATION

The commercial condominium may be terminated in the following manner:

21.1 Destruction

In the event that it is determined in the manner elsewhere provided that the commercial condominium building shall not be reconstructed because of major damage, the condominium plan of ownership will be thereby terminated without agreement.

21.2 Agreement

The commercial condominium may be terminated by the approval in writing of all of the owners of the units therein and by all record owners of mortgages thereon. If the proposed termination is submitted to a meeting of the members of the Association, the notice of which meeting gives notice of the proposed termination; and if the approval of the owners of not less than seventy-five percent (75%) of the common elements, and of the record owners of all mortgages upon the units, are obtained in writing not later than thirty (30) days from the date of such meeting, then the approving owners shall have an option to buy all of the units of the other owners for the period ending in the sixtieth (60th) day from the day of such meeting. Such approvals shall be irrevocable until the expiration of the option; and if the option is exercised, the approval shall be irrevocable. Such option shall be upon the following terms:

21.2.1 Exercise of Option. The option shall be exercised by delivery or mailing by certified mail to each of the record owners of the units to be purchased, of an agreement to purchase, signed by the record owners of units who will participate in the purchase. Such agreement shall indicate which units will be purchased by each participating owner and shall provide for the purchase of all units owned by owners not approving the termination; and the effect of said agreement shall be to create separate contract between each seller and his purchaser.

21.2.2 Price. The sale price for each unit shall be the fair market value determined by agreement between the seller and purchaser within thirty (30) days from the delivery or mailing of such agreement and in the absence of agreement as to price, it shall be determined by arbitration in accordance with the then existing rules of the American Arbitration Association who shall base their determination upon an average of their appraisals of the unit; and a judgment of specific performance of the sale upon the award rendered by the arbitrators may be entered in any court of competent jurisdiction. The expense of the arbitration shall be paid by the purchaser.

21.2.3 Payment. The purchase price shall be paid in cash.

21.2.4 Closing. The sale shall be closed within thirty (30) days following the determination of the sale price, or within ten (10) days after completion. Completion defined as a certificate of Occupancy from the Walton County, Florida Building Department.

21.3 Certificate

The termination of the commercial condominium in either of the foregoing manners shall be evidenced by a certificate of the Association, executed by the President and Secretary, certifying as to the facts effecting the termination which certificate shall become effective upon being recorded in the public records of Walton County, Florida.

21.4 Shares of Owners After Termination

After termination of the condominium. unit owners shall own the condominium property and all assets of the Association as tenants in common in undivided shares, and their respective mortgagees and lienors shall have mortgages and liens upon the respective undivided shares of the unit owners. Such undivided shares of the unit owners shall be the same as the undivided shares in the common elements appurtenant to the owners' units prior to the termination.

21.5 Amendments

This section concerning termination cannot be amended without consent of all unit owners and all record owners of mortgages upon condominium parcels.

22. SEVERABILITY & INVALIDITY

The invalidity in whole or in part of any covenant or restriction or any section, subsection, sentence, clause, phrase or word, or other provision of this Declaration of Condominium and the Articles of Incorporation, the By-Laws, and the Rules and Regulations of the Association shall not affect the validity of the remaining portions which shall remain in full force and effect.

In the event any court shall hereafter determine that any provisions of this Declaration of Condominium, as originally drafted or as amended, violates the rule against perpetuities or any other rules of law because of the duration of the period involved, the period specified in the Declaration shall not thereby become invalid, but instead shall be reduced to the maximum period allowed under such rules of law and for such purpose measuring lives shall be those of the incorporators of the Association .

23. INTERPRETATION

The provisions of this Declaration of Condominium shall be liberally construed to effectuate its purposes of creating a uniform plan for the operation of a condominium. In accordance with the laws of the State of Florida.

IN WITNESS WHEREOF, the developer, COCHACA, 1, INC, has caused the execution of this Declaration of Condominium this day of 14th day of November, 1997.

COCHACA, 1, INC
Developer

WITNESSES:

Sharon K. Deville
SHARON K. DEVILLE

Deborah Parker
Deborah Parker

STATE OF FLORIDA
COUNTY OF WALTON

BY: Coleman C. Orr
Coleman C. Orr, President

The foregoing instrument was acknowledged before me this 14th day of November 1997, by COLEMAN C. ORR
PRESIDENT

Sharon K. Deville
Notary Public
State of Florida at Large
My Commission Expires:

SHARON K. DEVILLE
Notary Public - State of Florida
My Comm. Expires May 22, 1999
Commission # CC 447313

JOINDER OF MORTGAGEE

PEOPLES FIRST COMMUNITY BANK Bank of SHALIMAR, FLORIDA
_____, hereinafter called "Lender", the owner and holder
of a mortgage encumbering the property described in Exhibit "A" of
this Declaration of Condominium, which mortgage is that certain
mortgage dated the 15th day of October, 1997, and
recorded in Official Records Book 1724, Page 138 *, Public
records of Walton County, Florida, to the extent it is required to
do so under the laws of the State of Florida, join in the making of
the foregoing Declaration of Condominium and agree that the lien of
said mortgage shall hereafter encumber each and every of the units
as set forth in said Declaration including, but not limited to, all
of the undivided shares of the common elements.

* and that Second
Mortgage dated 5/20/97
and recorded in OR Book 1673,
Page 262,

PEOPLES FIRST COMMUNITY Bank of:
By: G. Keith Rowell (SEAL)
G. KEITH ROWELL
Its: ASSISTANT VICE PRESIDENT

STATE OF FLORIDA
COUNTY OF WALTON OKALOOSA

BEFORE ME, the undersigned authority, this day personally appeared
G. Keith Rowell, as Assistant Vice President of
PEOPLES FIRST COMMUNITY BANK who is personally known to me or
who showed Drivers license as proof of identification and
who did not take an oath, to be the person(s) described in the
foregoing instrument, and he/she/they acknowledge the execution
thereof to be his/her/their free act and deed for the uses and
purposes therein expressed, on behalf of said corporation.

WITNESS my hand and official seal this 14th day of
November, 1997.

Louise R. Leake
NOTARY PUBLIC
Print Name Louise R. Leake
My Commission Expires

[SEAL]

